MUDRA OFFERINGS

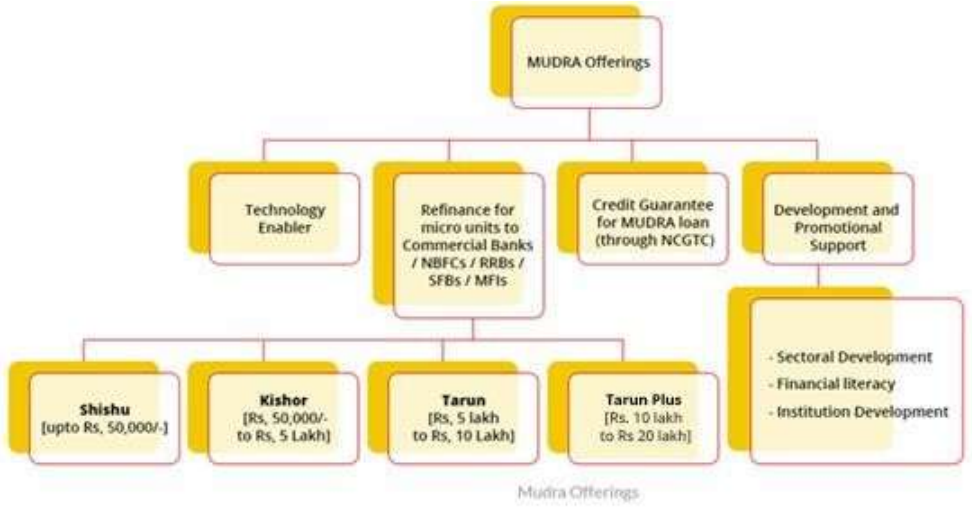
Mudra Offerings

Download Eligibility Criteria for availing MUDRA refinance/ loan.

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Product / Offerings of MUDRA

Micro Units Development and Refinance Agency Ltd. [MUDRA] is an NBFC supporting development of micro enterprise sector in the country. MUDRA provides refinance support to Banks / MFIs / NBFCs for lending to micro units having loan requirement upto ₹20 lakh. MUDRA provides refinance support to micro business under the Scheme of Pradhan Mantri MUDRA Yojana. The other products are for development support to the sector. The bouquet of offerings of MUDRA is depicted below. The offerings are being targeted across the spectrum of beneficiary segments.



Mudra Offerings

Pradhan Mantri MUDRA Yojana (PMMY)

Under the aegis of Pradhan Mantri Mudra Yojana (PMMY), MUDRA has created products/ schemes. The interventions have been named 'Shishu', 'Kishore' , 'Tarun' and 'Tarun Plus' to signify the stage of growth / development and funding needs of the beneficiary micro unit / entrepreneur and also provide a reference point for the next phase of graduation / growth to look forward to :

- Shishu : covering loans upto ₹ 50,000/-
- Kishor : covering loans above ₹ 50,000/- and upto ₹5 lakh
- Tarun : covering loans above ₹ 5 lakh and upto ₹10 lakh
- Tarun Plus: covering loans above ₹ 10 lakh and upto ₹20 lakh

With an objective to promote entrepreneurship among the new generation aspiring youth, it is ensured that more focus is given to Shishu Category Units and then Kishore and Tarun and Tarun Plus categories.

Within the framework and overall objective of development and growth of micro enterprises sector under Shishu, Kishore, Tarun and Tarun Plus, the products being offered by MUDRA are so designed, to meet requirements of different sectors / business activities as well as business/ entrepreneur segments.

The funding support from MUDRA are of two types:

- Micro Credit Scheme (MCS) for loans up to ₹1 lakh finance through MFIs.
- Refinance Scheme for Commercial Banks / Regional Rural Banks (RRBs) / Small Finance Banks / Non Banking Financial Companies (NBFCs).

Micro Credit Scheme:

Micro Credit Scheme is offered mainly through Micro Finance Institutions (MFIs), who deliver the credit up to ₹ 1 lakh, for various micro enterprise / small business activities. Although the model of delivery may be through SHGs/JLGs/ Individuals, the loans are given by the MFIs to individual entrepreneurs for specific income generating micro enterprise/ small business activities.

Refinance Scheme for Banks/NBFCs/MFIs

Different banks like Commercial Banks, Regional Rural Banks, Small Finance Banks, Urban Co-operative Banks and NBFCs are eligible to avail refinance support from MUDRA for financing micro enterprise activities. The refinance is available for term loan and working capital loan up to an amount of ₹ 20 lakh per unit. The eligible Banks/NBFCs/MFIs, who comply with the requirements as notified, can avail refinance from MUDRA for the loans given by them for eligible MUDRA compliant activities under Shishu, Kishore, Tarun and Tarun Plus categories. In order to encourage women entrepreneurs, the financing Banks/NBFCs/MFIs may consider extending additional facilities, including interest reduction on their loan.

Purpose of MUDRA loan

Mudra loan is extended for a variety of purposes which result in income generation and employment creation. The loans are extended mainly for:

- Business loan for Vendors, Traders, Shopkeepers and other Service Sector activities
- Working capital loan through MUDRA Cards
- Equipment Finance for Micro Units
- Transport Vehicle loans for commercial use only
- Loans for agri-allied non-farm income generating activities, e.g. pisciculture. bee keeping, poultry farming, etc.
- Tractors, tillers as well as two wheelers used for commercial purposes only.

Following is an illustrative list of the activities that can be covered under MUDRA loans:

1) Transport Vehicle

Purchase of transport vehicles for transportation of goods and passengers such as auto rickshaws, small goods transport vehicles, 3 wheelers, e-rickshaws, taxis, etc. Tractors/Tractor Trolleys/Power Tillers used only for commercial purposes are also eligible for assistance under PMMY. Two Wheelers used for commercial purposes are also eligible for coverage under PMMY.

2) Community, Social & Personal Service Activities

Salons, beauty parlours, gymnasium, boutiques, tailoring shops, dry cleaning, cycle and motorcycle repair shops, DTP and Photocopying Facilities, Medicine Shops, Courier Agents, etc.

3) Food Products Sector

Activities such as papad making, achaar making, jam/jelly making, agricultural produce preservation at rural level, sweet shops, small service food stalls and day to day catering / canteen services, cold chain vehicles, cold storages, ice making units, ice cream making units, biscuit, bread and bun making, etc.

4) Textile Products Sector / Activity

Handloom, powerloom, khadi activity, chikan work, zari and zardozi work, traditional embroidery and hand work, traditional dyeing and printing, apparel design, knitting, cotton ginning, computerized embroidery, stitching and other textile non garment products such as bags, vehicle accessories, furnishing accessories, etc.

5) Business loans for Traders and Shopkeepers

Financial support for on lending to individuals for running their shops / trading & business activities / service enterprises and non-farm income generating activities with beneficiary loan size of up to ₹ 10 lakh per enterprise / borrower.

6) Equipment Finance Scheme for Micro Units

Setting up micro enterprises by purchasing necessary machinery / equipments with per beneficiary loan size of upto ₹ 20 lakh.

7) Activities allied to agriculture

'Activities allied to agriculture', e.g. pisciculture, bee keeping, poultry, livestock-rearing, grading, sorting, aggregation agro industries, diary, fishery, agri-clinics and agribusiness centres, food & agro-processing, etc. (excluding crop loans, land improvement such as canal, irrigation and wells) and services supporting these, which promote livelihood or are income generating shall be eligible for coverage under PMMY in 2016-17.

MUDRA Card

MUDRA Card is a debit card issued against the MUDRA loan account, for working capital portion of the loan. The borrower can make use of MUDRA Card in multiple drawals and credits, so as to manage the working capital limit in cost-efficient manner and keep the interest burden minimum. MUDRA Card also helps in digitalization of MUDRA transactions and creating credit history for the borrower. MUDRA Card can be operated across the country for withdrawal of cash from any ATM / micro ATM and also make payment through any â€˜Point of Saleâ€™ machines.



Creation of Framework for "Small Business Finance Entities"

An enabling framework for support to "Small Business Finance Entities" would be created leading to formalization of the economy which is presently included in the informal sector.

Synergies with Make in India Campaign

Government of India has initiated several steps for encouraging enterprise creation in our country. The major one is Make in India movement. Make in India is a major national programme designed to facilitate investment, foster innovation, enhance skill development, project intellectual property and build best in class manufacturing infrastructure. This coupled with Start-up India and Stand-up India campaign, has created a conducive environment of enterprise creation in different scales. MUDRA, being an initiative for promoting micro enterprises, fits well with Make in India initiative for supporting these micro enterprises.

Synergies with National Rural Livelihoods Mission / National Urban Livelihood Mission

The **National Rural Livelihoods Mission [NRLM]** is set up "To reduce poverty by enabling the poor households to access gainful self-employment and skilled wage employment opportunities, resulting in appreciable improvement in their livelihoods on a sustainable basis, through building strong grassroots institutions of the poor." To achieve the above, **NRLM Mission** inter alia follows a demand driven strategy for continuous capacity building, imparting requisite skills and creating linkages with livelihood opportunities for the poor, including those emerging in the organized sector.

Similarly, the **Deendayal Antodaya Yojana [DAY]** National Urban Livelihood Mission is another programme which is aimed at reducing Urban poverty through creation of micro enterprises, individually and group mode.

MUDRA, being an initiative for promoting micro enterprises, would make all efforts to draw synergies between NRLM, NULM and MUDRA interventions for supporting micro enterprises and creating sustainable livelihood opportunities for the poor.

Synergies with National Skill Development Corporation

NSDC is already engaged in the process of skill development at a National scale. Synergizing with NSDC will help MUDRA in augmenting the skill sets of the sectoral players.

The MUDRA Pricing

Access to finance is critical and equally critical is the cost of finance to the Non Corporate Small Business Sector/ultimate beneficiary. The funds mobilized by micro units from the informal sources are at a high cost. There is scope for cost rationalization. However, the rationalization is intricately linked with the cost of funds for the last mile MFIs.

GOI while announcing the formation of MUDRA, also announced a refinance corpus for MUDRA to be allocated by RBI from the Priority Sector lending shortfall. Accordingly, RBI has provided the allocation which helps in bringing down the cost of lending at the ultimate borrower level as MUDRA refinance will reduce the average borrowing cost of the lending institutions.

The NBFC-MFIs/MFIs are presently regulated by Reserve Bank of India. The sector has been constantly trying to reduce its costs and MUDRA would also help NBFC-MFIs/MFIs reduce their cost to bring down the overall cost to the end beneficiaries. Further, at the time of appraisal, MUDRA would be studying / assessing individual MFIs on this as well as other related parameters and suitably price its assistance based on such assessment.

In the case of Banks, RBI has also put a cap on the interest rate at yield on 10 year G-Sec for lending micro units by Commercial Banks by availing of MUDRA refinance. Similarly, the RRBs have been given an interest cap of 3.50% over and above MUDRA refinance rate, while lending a PMMY loan by availing of MUDRA refinance.

In case of NBFCs, RBI has also stipulated an interest cap of 8% over and above MUDRA refinance while their lending to MUDRA segment.

All these are expected to have a positive impact on the pricing of MUDRA loans in the country whereby the Micro enterprises will be able to avail credit at an affordable interest rate. But, the first and foremost objective is to ensure accessibility of credit.
(Guidelines may be applicable as per latest RBI directions)

Development and Promotional Support

Besides the credit constraints, the Non Corporate Small Business (NCSBS) face many non-credit challenges, like,

- Skill Development Gaps
- Knowledge Gaps
- Information Asymmetry
- Financial / Business Literacy
- Lack of growth orientation

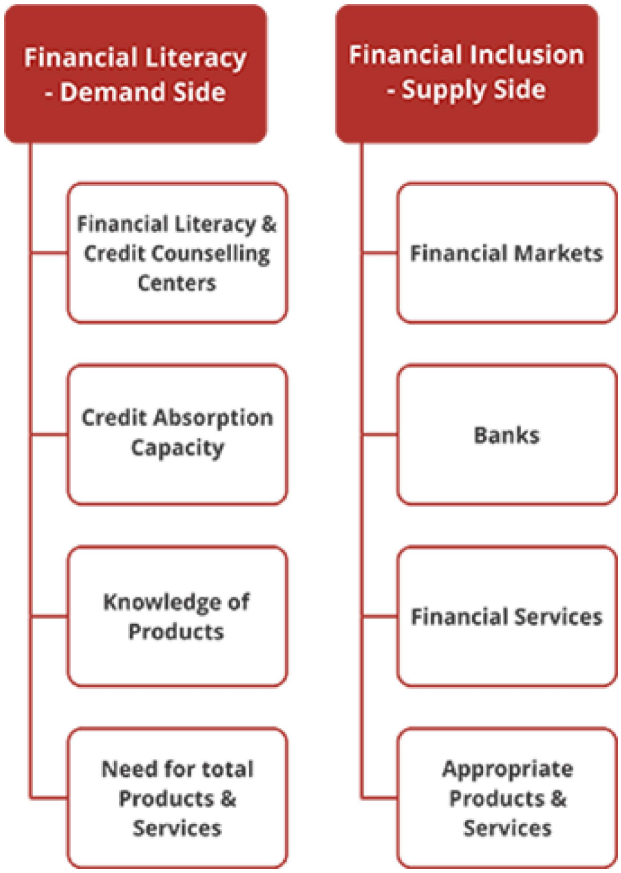
To address these constraints, MUDRA plans to adopt a credit- plus approach in future and offer Developmental and Support services to the target audience. It will act as a market maker and buildâ€“up an ecosystem with capacities to deliver value in an efficient and sustainable manner.

Imparting Financial / Business Literacy

Financial / business literacy or financial education can broadly be defined as 'providing familiarity with and understanding of financial market products, especially rewards and risks, in order to make informed choices.'

Financial Inclusion and Financial / business Literacy are twin pillars. While Financial Inclusion acts from supply side providing the financial market / services that people demand, Financial Literacy stimulates the demand side â€“ making people aware of what they can demand. Supporting the financial literacy drive will contribute substantially from the demand side to the national agenda of financial inclusion.

To address these constraints, MUDRA will adopt a credit- plus approach and offer Developmental and Support services to the target audience. It will act as a market maker and build â€“up an ecosystem with capacities to deliver value in an efficient and sustainable manner. This apart, the micro enterprise segment also needs business literacy which will help them in acquiring knowledge on running / managing business, keeping accounts, working out ratios, etc.



Promotion and Support of Grass Root Institutions

One of the major focus areas will be to formalize and institutionalize the last mile financiers / grass root institutions so that a new category of financial institutions viz. Small Business Finance Companies can be created and ecosystem developed for their growth.

Rural innovations at micro enterprise / unit level would also be one of the key areas for intervention and support. Support to Micro units by way of the facility of incubators would be taken up. This would ensure that at the most grass root levels in the country, there is climate for promotion of innovation as well as incubation of ideas from educated rural youths which would germinate in viable micro enterprises.

Working with Credit Bureaus

With the growth of responsible lending practices, Credit Bureaus (CB) have gained increasing level of acceptability in the micro finance sector. The CB culture will help in creating credit history over a period of time which will facilitate faster credit dispensation as the system evolves.

Working with Rating Agencies

Accreditation / rating of MFI entities is one of the roles earmarked for MUDRA. Further, a segment of financial intermediaries for the non-corporate small business sector is envisaged to emerge in the financing architecture. MUDRA would work in coordination with Rating Agencies so that appropriate rating framework(s) which take into account sector specific features are devised for various sector participants. In the longer run, availability of rating for sector participants would facilitate formalization and further flow of capital to the sector.

Portfolio Credit Guarantee

Traditional institutional financing in Indian context adopts an Asset Based Lending Approach with emphasis on collateral security. Micro units, most of the times, are unable to provide the comfort of collateral. Hence, MUDRA loans, i.e., loans up to ₹20 lakh, have been made collateral free, as per the RBI norms in this regard.

To mitigate the issue of collateral and to provide comfort to the lending institutions, a Credit Guarantee Product is extended by creation of a Fund called Credit Guarantee Fund for Micro Units [CGFMU]. All eligible micro-loans sanctioned since April 08, 2015 are covered under the above guarantee. The Scheme is being managed by National Credit Guarantee Trustee Company Ltd. [NCGTC], an agency promoted by the GOI. The Guarantee product is one of the key interventions made with the objective of bringing down the cost of funds and facilitating ease of access to institutional credit for the end beneficiary to improve his creditworthiness.

"MUDRA is a refinancing Institution. MUDRA does not lend directly to the micro entrepreneurs / individuals. Mudra loans under Pradhan Mantri Mudra Yojana (PMMY) can be availed of from nearby branch office of a bank, NBFC, MFIs etc. Borrowers can also now file online application for MUDRA loans on Udyamimitra portal (www.udyamimitra.in).

Note: There are no agents or middleman engaged by MUDRA for availing of Mudra Loans. The borrowers are advised to keep away from persons posing as Agents/ facilitators of MUDRA/PMMY."

SKILL TRAINED - PMMY

Related Links:

(https://www.sidbi.in/)

(https://www.cgtmse.in/)

(https://udyamimitra.in/)

(https://udyogaadhaar.gov.in/UA/UAM_Registration.aspx)

(https://msme.gov.in/)

THE PURPOSE OF MUDRA LOAN

Mudra loan is extended for a variety of purposes which provides income generation and employment creation in Manufacturing, Services, Retail and Agri. Allied Activities.

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